Kolosal Tax 301 — Speaker Notes

These speaker notes accompany the **Kolosal Tax 301: Advanced International Tax Planning & Cross-Border Structuring** presentation — a 53-slide advanced-level deck covering seven jurisdictions: the United States, Canada, Indonesia, Brazil, Mexico, Australia, and Singapore. The notes are written for a senior international tax partner presenting to CFOs, tax directors, and in-house counsel. This session moves beyond the fundamentals covered in Tax 201 and into worked calculations, Pillar 2 restructuring, multi-tier leveraging, FTC basket mechanics, and corridor-specific ETR walk-throughs.

Slide 1: Title Slide

Welcome to Kolosal Tax 301 — our advanced course on international tax planning and cross-border structuring. If Tax 201 gave you the map, Tax 301 gives you the engineering drawings. Over the next fifty-three slides, we will work through the same seven jurisdictions — the United States, Canada, Indonesia, Brazil, Mexico, Australia, and Singapore — but this time with worked GILTI and BEAT calculations, FTC basket mechanics that go far beyond the credit-versus-exemption overview, Pillar 2 restructuring analysis showing exactly how the global minimum tax changes your incentive economics, multi-tier debt structures with real numbers, and corridor-specific ETR walk-throughs that show the true all-in cost of moving a dollar of profit from subsidiary to parent. We assume you are comfortable with the 201 material — CIT rates, treaty basics, CFC concepts, and thin capitalisation principles. Today we stress-test those concepts with numbers and edge cases. The tax year reference is 2024/2025, which is critical because several major changes have landed: the US CAMT is now in force, Canada's EIFEL rules are effective, Australia has shifted to EBITDA-based thin cap, and Singapore's Domestic Minimum Top-up Tax started in January 2025. Let us begin.

Slide 2: Why Cross-Border Tax Architecture Matters

Let us set the stage with five numbers that frame the entire discussion. First, the CIT spread: seventeen percentage points between Singapore at seventeen percent and Brazil at thirty-four percent. That is the headline gap, but it tells less than half the story. Second, the

withholding tax spread: thirty percentage points between Singapore at zero percent and the United States at thirty percent on dividends to non-treaty countries. Third, the maximum R&D deduction advantage: Singapore's Enterprise Innovation Scheme delivers a four-hundred-percent enhanced deduction — meaning every dollar of qualifying R&D generates four dollars of deductions. Fourth, the BEPS Pillar 2 minimum: fifteen percent, the floor that now reshapes every incentive in every jurisdiction for in-scope multinationals. Fifth, the US BEAT threshold: five hundred million dollars in average annual gross receipts — cross that line and your deductible payments to foreign affiliates get added back under a ten-percent minimum tax calculation. The formula on the slide is the one I want you to internalise: effective tax rate on repatriated profits equals local CIT, plus withholding tax on dividends or interest, minus foreign tax credits, minus treaty benefits, minus structural optimisations. That is six variables, and each one can swing your ETR by five to ten percentage points. The example illustrates this perfectly — a US subsidiary paying twenty-one percent CIT plus thirty percent branch tax produces a combined forty-four point seven percent burden, whereas a Singapore subsidiary at flat seventeen percent with zero withholding delivers seventeen percent. That is a twenty-seven-point gap, and it is entirely a function of structure, not substance.

Slide 3: Section I — Tax Fundamentals & Rate Architecture

This section covers the foundational rate architecture across all seven jurisdictions. We will walk through CIT rates, SME regimes, VAT and GST comparison, payroll costs, and Brazil's landmark CBS/IBS reform. For those who attended Tax 201, you will recognise the framework but notice we have added CAMT detail for the US, the new Indonesia PPN increase, and the full CBS/IBS timeline. These fundamentals matter because every advanced calculation we do later — GILTI inclusions, FTC baskets, Pillar 2 top-ups — starts from these base rates.

Slide 4: Corporate Tax Rates & SME Regimes

As the horizontal bar chart ranking CIT rates on this slide shows, let me draw your attention to the data on both sides — headline CIT rates on the left and SME or reduced regimes on the right — because the gap between them is where most planning opportunities live. Singapore at seventeen percent is the lowest headline rate, but effective rates can drop as low as four point two five percent under the Startup Tax Exemption scheme. The United States at twenty-one percent now has an additional layer: CAMT, the Corporate Alternative

Minimum Tax under IRC section 55, which imposes a fifteen-percent minimum on adjusted financial statement income for groups with a three-year average exceeding one billion dollars. This is crucial — CAMT operates on book income, not taxable income, so companies with low ETRs from accelerated depreciation, stock compensation deductions, or tax credits can be caught. Indonesia's twenty-two percent rate drops to nineteen percent for publicly listed companies with at least forty percent public float — a three-percentage-point discount that meaningfully changes corridor economics. Canada's combined twenty-three to thirty-one percent rate masks a powerful SME regime: CCPCs accessing the Small Business Deduction pay only nine percent federal on the first five hundred thousand, producing roughly twelve point two percent combined — but watch the phase-out traps at ten million in taxable capital and fifty thousand in passive income. Brazil remains the outlier at thirty-four percent combined IRPJ plus CSLL, the highest in our group. At the SME level, the spreads are even more dramatic: Indonesia's MSME final tax is zero point five percent on gross revenue below IDR four point eight billion, while Singapore's SUTE delivers four point two five percent effective on the first two hundred thousand Singapore dollars for the first three years. These are not rounding errors — they are thirty-percentage-point differences that drive entity selection and market-entry strategy.

Slide 5: VAT, GST & Sales Tax Comparison

As the bar chart comparing indirect tax rates illustrates, indirect taxes hit cash flow before they hit the income statement, and in a cross-border supply chain, irrecoverable VAT or GST is a real cost. Mexico's IVA at sixteen percent standard with an eight percent border zone rate creates an immediate planning opportunity for companies locating near the US border. Indonesia's PPN increase to twelve percent from January 2025 — up from eleven — is a meaningful change for companies with significant Indonesian procurement. The registration threshold at IDR four point eight billion means smaller operations can stay below the radar, but once you cross it, full compliance obligations kick in. Australia's GST at ten percent has a broad base but generous zero-rating on food, health, and education — and financial services are input-taxed, meaning banks and financial institutions bear irrecoverable GST as a real cost. Singapore's GST reached nine percent from January 2024, up from eight, and the trajectory suggests further increases are possible. Canada's split system — five percent federal GST versus thirteen to fifteen percent harmonised HST depending on province — means the same transaction can carry different indirect tax burdens depending on which province the supply occurs in. The United States remains the only jurisdiction without a federal value-added tax, relying instead on state and local sales taxes ranging from zero to

over ten percent. And then there is Brazil — the most complex indirect tax system in our group, with PIS/COFINS at nine point two five percent non-cumulative, layered with state ICMS at seven to twenty-five percent and municipal ISS at two to five percent. The landmark reform under EC 132/2023 will replace all five taxes with CBS and IBS by 2033, which we cover in detail on the next slide.

Slide 6: Payroll & Employer Social Contributions

As the bar chart showing employer contribution rates makes clear, employment costs are often the largest operating expense and the differences across our seven jurisdictions are significant enough to shift location decisions. The United States anchors the low end at roughly seven point six five percent — Social Security at six point two percent on the first one hundred sixty-eight thousand six hundred dollars, Medicare at one point four five percent with no cap, and FUTA at zero point six percent. Singapore appears higher at seventeen point two five percent because of the Central Provident Fund at seventeen percent for citizens and permanent residents under fifty-five, but here is the critical insight: CPF applies only to citizens and permanent residents. For foreign workers on Employment Passes, the employer contribution is zero percent CPF — just the Skills Development Levy at zero point two five percent plus the Foreign Worker Levy. This makes Singapore extremely competitive for companies staffing with expatriates. Mexico's IMSS contributions can reach twenty-six to thirty-five percent when you stack health, disability, retirement, childcare, Infonavit housing at five percent, and state payroll tax at two to three percent. Brazil tops the chart at thirty-five point eight percent — INSS employer at twenty percent, RAT/SAT occupational risk at one to three percent, third-party levies at roughly five point eight percent, and FGTS at eight percent. Australia's Superannuation Guarantee is eleven point five percent with a legislated increase to twelve percent from July 2025. When you are modelling total cost of labour for a shared services centre or regional headquarters, these payroll burdens often matter more than the CIT rate.

Slide 7: Brazil Tax Reform — CBS/IBS Timeline 2026–2033

The timeline visualization on this slide deserves significant attention because Brazil's indirect tax reform under EC 132/2023 is the most significant tax legislative change in any of our seven jurisdictions this decade. The reform replaces five separate indirect taxes — PIS, COFINS, IPI, ICMS, and ISS — with two new value-added taxes: CBS at the federal level

and IBS at the state and municipal level. The timeline is a seven-year phased transition. In 2026, CBS pilots at zero point nine percent and IBS at zero point one percent while all existing taxes remain in full — this is a parallel-run year for systems and compliance testing. In 2027, PIS and COFINS are fully replaced by CBS, and IPI drops to zero except for Manaus Free Zone products. From 2029 through 2032, ICMS and ISS phase out gradually at ten percent per year while IBS rates increase proportionally. By 2033, full transition: ICMS and ISS are extinguished and CBS plus IBS become the sole indirect taxes. Three design features to note: first, the destination principle means tax is collected where goods and services are consumed, not where produced — this eliminates the inter-state tax wars that have plagued Brazil's ICMS system for decades. Second, the combined CBS plus IBS rate is estimated at roughly twenty-six point five percent, which would be one of the world's highest VAT rates. Third, a cashback mechanism will refund tax on basic goods to lower-income families through the Bolsa Família programme. For multinationals, the action item is to model the transition's impact on pricing, cash flow timing, and input credit recovery during the phase-in period. Systems that currently handle five different tax calculations will need to handle seven during transition and two afterward.

Slide 8: Section II — International Tax Architecture

Now we move into the core of the advanced material. This section covers territorial versus worldwide systems, CFC rules in detail, the US GILTI/BEAT/FDII trifecta with worked calculations, Brazil's unique universal CFC regime with JCP optimisation, and holding company and entity structure selection. If section one gave you the rates, section two shows you how those rates interact with your corporate structure to produce your actual ETR.

Slide 9: Territorial vs. Worldwide Tax Systems

Before choosing where to set up subsidiaries, first understand what your parent country will do with the profits earned abroad — this is the single most important structural question. A territorial system taxes only domestic income; foreign income is generally exempt. Singapore is the only pure territorial system in our group — foreign-sourced income is taxed only when remitted to Singapore, and even then, broad exemptions under ITA section 13(8) mean qualified foreign dividends, branch profits, and service income come in tax-free. A worldwide system taxes all income regardless of where earned, with foreign taxes potentially credited against domestic liability. The United States, Canada, Australia, Brazil, Mexico, and

Indonesia all operate worldwide systems — but each layers CFC rules on top that determine when and how they reach into your foreign subsidiaries. The practical consequence is profound: Singapore as parent gives you maximum flexibility — no CFC rules, no tax on foreign dividends or profits, zero capital gains tax on disposal. Brazil as parent is the most restrictive — universal CFC taxation means all foreign profits are taxed annually at thirty-four percent with zero deferral. The US falls in between — complex, with GILTI imposing a ten point five percent minimum on all CFC earnings, but at least offering a high-tax exclusion and FTC relief. The parent country's system determines your CFC exposure, your FTC complexity, and whether an intermediate holding company adds or destroys value.

Slide 10: CFC Rules — What Are They & Why Do They Matter?

CFC stands for Controlled Foreign Company — a foreign subsidiary where the parent country's residents own a controlling stake. CFC rules force the parent to include certain foreign subsidiary income in its own tax return, even if no dividends are paid. The goal is preventing profit deferral by parking income in low-tax jurisdictions indefinitely. What varies across our seven countries is substantial. First, the ownership threshold: when are you considered controlling? Second, what income gets caught: all income, only passive income, or income below a rate threshold? Third, whether active business income is exempted. Fourth, whether foreign tax credits are available to offset the double taxation. The severity ranking shown in the bar chart on this slide is critical for structuring decisions. Brazil sits at the top as most restrictive — universal CFC means all foreign profits are taxed annually with no active income exemption under Lei 12.973 Articles 76 through 92. The United States is next with GILTI plus Subpart F, capturing all CFC income subject to a ten point five percent minimum under IRC section 951A. Canada's FAPI regime taxes passive income but exempts active business income earned in treaty countries. Australia's Part X CFC rules tax passive income but offer a ninety-five percent active income safe harbour. Mexico's REFIPRE only targets passive income in jurisdictions below twenty-two point five percent effective rate. Indonesia's deemed dividend rule has limited enforcement in practice. And Singapore has no CFC rules at all — this is why it remains the most popular parent jurisdiction in Southeast Asia.

Slide 11: CFC Thresholds & Planning Points

Let us get specific on the triggers. The United States uses a ten percent individual plus fifty percent aggregate ownership test — and once you are a CFC, GILTI catches everything. The high-tax exclusion is your primary planning lever: if the CFC pays an effective rate of at least eighteen point nine percent — that is ninety percent of the twenty-one percent US rate — you can exclude the income from GILTI. Indonesia at twenty-two percent, Canada at twenty-three to twenty-seven percent, and Australia at twenty-five to thirty percent naturally qualify for this exclusion. Singapore at seventeen percent does not qualify, meaning GILTI applies at ten point five percent on Singapore CFC earnings. Canada's FAPI rules have a valuable feature: active business income earned in treaty countries qualifies for exempt surplus treatment, meaning dividends flow to the Canadian parent tax-free under ITA section 113. For Australia, the key planning point is keeping each CFC at ninety-five percent or more active income to stay outside the Part X CFC net. For Brazil, no planning avoids the CFC inclusion — the only strategy is maximising foreign tax credits to offset the thirty-four percent domestic rate, and critically, Brazil offers no FTC carry-forward — it is use-it-or-lose-it in the year incurred. For the US and Canada, FTC carry-forwards of ten years provide a cushion against timing mismatches.

Slide 12: US GILTI, BEAT & FDII — The Trifecta

This is one of the most important slides in the deck because the calculation table shown here illustrates the actual arithmetic of the US international tax trifecta. Let us walk through the GILTI calculation first. Our example: a Singapore CFC with fifty million dollars of tested income and one hundred million in tangible assets — QBAI. Step one: net deemed tangible income return is ten percent of QBAI, so ten million. Step two: net GILTI inclusion is fifty million minus ten million, equals forty million. Step three: the section 250 deduction is fifty percent — but note the phase-down, this drops to thirty-seven point five percent after 2025 — giving us twenty million of taxable GILTI. Step four: tax at twenty-one percent produces four point two million, for an effective rate on the full fifty million of eight point four percent. That is the current GILTI cost of a Singapore CFC. After 2025, the rate rises from ten point five percent effective to thirteen point one two five percent. On BEAT: this is the Base Erosion and Anti-Abuse Tax, a ten percent minimum on modified taxable income that adds back deductible payments to foreign affiliates. The threshold is five hundred million in three-year average gross receipts plus base erosion payments exceeding three percent of total deductions. It catches intercompany royalties, management fees, and interest to foreign

affiliates — but not cost of goods sold and not services eligible for the Services Cost Method exception. On FDII: the Foreign-Derived Intangible Income deduction gives a thirty-seven point five percent deduction on income from serving foreign markets, producing an effective thirteen point one two five percent rate — but this also phases down after 2025. The strategic tension is clear: GILTI incentivises placing IP offshore to reduce the CFC inclusion, while FDII incentivises keeping IP onshore to access the lower export rate. Post-2025, the gap between them narrows significantly.

Slide 13: Brazil Universal CFC & JCP Optimization

Brazil's CFC regime is uniquely aggressive — as the JCP comparison table on this slide demonstrates, all foreign profits of controlled entities are taxed in Brazil annually at thirty-four percent, regardless of whether they are distributed, regardless of whether the income is active or passive, and regardless of the foreign tax rate. This is Lei 12.973 Articles 76 through 92. There is no active income exemption — unlike every other country in our analysis. Foreign tax credits are available but only with reciprocity or a treaty, and crucially, there is no carry-forward. Profits and losses of different CFCs may be offset, but only within the same fiscal year. For Brazilian parents, the only real optimisation levers are maximising FTC utilisation and using Juros sobre Capital Próprio for inbound flows. Let us walk through the JCP worked example on the slide. Take a company with a one hundred million reais equity base. Under the dividend route: pre-tax profit of one hundred million, CIT at thirty-four percent takes thirty-four million, dividends are exempt from withholding, and the parent receives sixty-six million with a thirty-four percent effective rate. Under the JCP route: the company deducts twelve million of JCP calculated at the TJLP rate of roughly twelve percent times the equity base. Taxable income drops to eighty-eight million, CIT at thirty-four percent is twenty-nine point nine million, and there is a fifteen percent withholding tax on the JCP payment of one point eight million. Total tax is thirty-one point seven million at a thirty-one point seven percent effective rate, and the parent receives sixty-eight point three million. JCP saves two point three percentage points on every cycle. On a one billion reais equity base, that is twenty-three million reais per year in tax savings. Always use JCP when available — it is limited to TJLP times equity under Lei 9.249 Article 9.

Slide 14: How to Pick a Holding Company Jurisdiction

Start with your parent country's CFC regime — this is the number one factor, not the holding company's local tax rate. If you are a Singapore parent, use Singapore itself as the holding company. Why? No CFC rules, zero dividend withholding, zero capital gains tax, and over ninety tax treaties. There is simply no benefit to an intermediate holding company when the parent already has the ideal profile. For a Canadian parent, hold subsidiaries in treaty countries so that active business income dividends qualify for exempt surplus treatment under ITA section 113 — dividends from treaty country subsidiaries with active business income flow to Canada tax-free. For an Australian parent, ensure each foreign subsidiary has ninety-five percent or more active income to stay outside the Part X CFC net — operating subsidiaries with genuine substance work well, but avoid IP-heavy or passive-income CFCs. For a US parent, structure for the GILTI High-Tax Exclusion by pushing CFC effective rates above eighteen point nine percent, and consider FDII for US-based export income. For a Mexico parent, ensure foreign subsidiaries have more than seventy-five percent active income and pay more than twenty-two point five percent local rate to avoid REFIPRE. For a Brazil parent, no holding structure avoids universal CFC — focus entirely on FTC maximisation and JCP optimisation. The post-Pillar 2 overlay is important: for in-scope MNEs above seven hundred fifty million euros, the holding jurisdiction must deliver at least fifteen percent ETR or you are paying top-up tax somewhere.

Slide 15: Branch vs. Subsidiary — When to Use Which

The branch versus subsidiary decision is your first entity-level choice in a new market, and getting it wrong is expensive to unwind. Use a branch when you are expecting initial losses, because branch losses can offset headquarters profits in the US, Canada, and most worldwide-system countries — that is immediate cash value. Use a branch for temporary projects, particularly construction or consulting engagements that may stay below PE thresholds. Brazil and Australia have zero percent branch profits tax, so there is no extra cost on remittance — making branches viable for longer-term operations in those markets. Singapore's branch profits tax is also zero. Use a subsidiary when the operation is profitable from the start, because subsidiaries access local incentives that branches cannot: Indonesia's Tax Holiday offering zero percent CIT for up to twenty years, Canada's Small Business Deduction at nine percent, Singapore's Pioneer Certificate, Australia's Base Rate Entity at twenty-five percent. Use a subsidiary for long-term operations where asset protection, local market credibility, and the ability to reinvest without triggering branch profits

tax matter. But watch the branch tax trap: US branch profits tax is thirty percent and Canada's is twenty-five percent, so combined branch rates in those jurisdictions hit forty-four point seven percent for the US and thirty-six point three percent for Canada — far worse than the subsidiary-plus-treaty-dividend route. Dividend repatriation via treaty typically delivers much lower effective rates than branch profits tax.

Slide 16: Section III — Treaty Networks, WHT & Profit Repatriation

This section goes deep on withholding taxes, treaty rates, FTC basket mechanics, and profit repatriation. We will cover the franking credit system in Australia, Singapore's FSIE and its interaction with Pillar 2 DTT, and a worked multi-jurisdiction FTC basket calculation. These are the mechanics that determine how much of your subsidiary's after-tax profit actually reaches the parent.

Slide 17: Withholding Taxes & Treaty Networks

The WHT rates table on this slide shows the default versus best treaty rate on dividends for each jurisdiction, and the spreads are dramatic. Singapore's default is zero — the one-tier imputation system under ITA section 44 means there is never withholding on dividends, regardless of treaty status. Brazil's default on dividends is also zero, though JCP carries a fifteen percent withholding. Mexico's default is ten percent but the best treaty rate reaches zero on pre-2014 CUFIN distributions. Indonesia's default is twenty percent, reducible to ten percent under the best treaties. Canada's default is twenty-five percent, dropping to five percent under treaties with substantial shareholding requirements. The United States has the highest default at thirty percent, reducible to five percent under its best treaties. Australia is nuanced: thirty percent on unfranked dividends but zero on franked dividends regardless of treaty. On the right side, note the key corridors. The US-Canada corridor is exceptionally efficient: five percent dividends, zero interest, zero to ten percent royalties. The Singapore-Indonesia corridor runs at ten percent across all three categories. And critically, there is no comprehensive tax treaty between the United States and Singapore — only a limited shipping and aircraft agreement. This means US-source dividends to a Singapore parent face the full thirty percent statutory withholding, making the US-Singapore corridor one of the most expensive in our analysis and creating strong incentive to route through an intermediary jurisdiction with treaty access to both.

Slide 18: Repatriating $10M to a Singapore Parent

Let us make this concrete with the bar chart showing net cash received — dollar figures for repatriating ten million dollars of pre-tax profit from each jurisdiction to a Singapore parent. From a US subsidiary: twenty-one percent CIT plus five percent treaty withholding — but remember, there is no comprehensive US-Singapore treaty, so that five percent assumes routing through a treaty jurisdiction. At full domestic rates, it would be thirty percent withholding, producing a twenty-four point nine five percent effective rate and seven point five million received. From Indonesia: twenty-two percent CIT plus ten percent treaty WHT gives twenty-nine point eight percent effective — seven million received. From Australia with franked dividends: thirty percent CIT plus zero WHT on franked dividends — thirty percent effective, seven million received. From Mexico via treaty: thirty percent CIT plus zero treaty WHT — thirty percent effective, seven million. From Canada in Ontario: twenty-six point five percent CIT plus five percent treaty WHT — thirty point two percent effective, six point nine eight million. From Brazil via dividends: thirty-four percent CIT plus zero WHT — thirty-four percent effective, six point six million. And here is the key insight: from Brazil via the JCP route, JCP is deductible against the thirty-four percent CIT and only carries fifteen percent WHT, producing roughly fifteen percent effective and eight point five million received — by far the best result from any jurisdiction. On the Singapore receiving end, all of these qualify for FSIE exemption because every source country has a headline rate at or above fifteen percent. Watch the FX controls: Indonesia requires Bank Indonesia reporting and export proceeds in domestic banks, and Brazil requires Central Bank RDE-IED registration plus IOF on foreign exchange operations.

Slide 19: Foreign Tax Credit Mechanics

This slide maps the FTC architecture across all seven jurisdictions, and the differences matter enormously for cash tax outcomes. The US system is the most complex, operating with four separate baskets under IRC section 904(d). The general basket covers active business income with a ten-year carry-forward and one-year carry-back. The passive basket covers dividends, interest, royalties, rents, and capital gains — same carry-forward and carry-back periods. The GILTI basket is unique and punitive: no carry-forward, no carry-back, single-year use only, and limited to eighty percent of foreign taxes under section 960(d). The foreign branch basket covers income attributable to foreign branches, again with ten-year carry-forward. The critical constraint is the cross-basket limitation: excess credits in one basket cannot offset tax in another. If you have excess credits in the general basket from a

high-tax jurisdiction like Brazil, those credits do nothing for your GILTI shortfall or your passive income exposure. This creates permanent double taxation risk if your income streams are not balanced across baskets. Canada uses a per-country system with business versus non-business income splitting: business FTCs carry forward ten years with three-year carry-back, but non-business FTCs have no carry-forward at all. Australia pools everything into a single FITO basket with no carry-forward. Singapore offers per-country with an optional pooling election under section 50A, but also no carry-forward. Indonesia, Mexico, and Brazil all operate per-country with no carry-forward. The planning implication is clear: in jurisdictions without carry-forward — which is most of our seven — excess FTCs are permanently lost. You must plan intercompany pricing and dividend timing to match FTC capacity each year.

Slide 20: FTC Basket Calculation — Multi-Jurisdiction Case

This is a worked example — as the calculation table on the slide details — that shows exactly how the FTC basket mechanics play out for a US parent with three subsidiaries — Singapore, Indonesia, and Australia — all in the general basket. Singapore subsidiary: ten million in pre-tax income, CIT paid at seventeen percent is one point seven million, zero WHT on dividends, total foreign tax one point seven million. US tax at twenty-one percent on ten million is two point one million. FTC allowed is capped at the lesser of foreign tax or US tax — so one point seven million. Net US tax: four hundred thousand. Singapore under-credits because seventeen percent is less than the twenty-one percent US rate. Indonesia subsidiary: eight million pre-tax, CIT at twenty-two percent is one point seven six million, WHT at ten percent is six hundred twenty thousand, total foreign tax two point three eight million. US tax at twenty-one percent on eight million is one point six eight million. FTC capped at one point six eight million — seven hundred thousand in excess credits. Australia subsidiary: six million pre-tax, CIT at thirty percent is one point eight million, zero WHT on franked dividends, total foreign tax one point eight million. US tax at twenty-one percent on six million is one point two six million. FTC capped at one point two six million — five hundred forty thousand in excess credits. Now, because all three are in the same general basket, the excess credits from Indonesia and Australia — totalling one point two four million — can cross-credit against the Singapore shortfall of four hundred thousand. Net result: US pays only four hundred thousand on twenty-four million of foreign income — one point seven percent incremental, for a combined ETR of twenty-six point two percent. This cross-crediting within baskets is why basket classification is so important.

Slide 21: Australia Franking Credit System Deep-Dive

The Australian franking credit system, as the side-by-side comparison visual on this slide highlights, is unique among our seven jurisdictions and can create a ten-point-five-percentage-point ETR swing depending on whether dividends are franked or unfranked. Scenario A — fully franked dividend: the Australian subsidiary earns ten million pre-tax, pays three million in CIT at thirty percent, distributes seven million in after-tax profit with three million in franking credits attached. Withholding tax on franked dividends: zero under Division 202 of ITAA 1997. Cash received by the Singapore parent: seven million. Total ETR: thirty percent. Singapore FSIE exemption applies because Australia's headline rate exceeds fifteen percent. Scenario B — unfranked dividend: same pre-tax income, same CIT, but the dividend carries no franking credit — this happens when the dividend is paid from exempt income, or the franking account is depleted. WHT on unfranked dividends under the Singapore-Australia treaty: fifteen percent of seven million is one point zero five million. Cash received: five point nine five million. Total ETR: forty point five percent — that is ten and a half percentage points worse. The planning imperative is clear: always maintain sufficient franking account balance before declaring dividends, and time dividend declarations around tax payments to maximise franking availability. Additionally, Division 802 on conduit foreign income allows foreign-sourced income flowing through an Australian company to be distributed as unfranked plus conduit foreign income at zero percent WHT to non-residents — a powerful tool for Australian holding structures receiving and redistributing foreign income.

Slide 22: Singapore FSIE & Pillar 2 DTT Interaction

Singapore's Foreign-Sourced Income Exemption under ITA section 13(8) is one of its most valuable features, and the worked example table on this slide walks through the three-condition test, which is straightforward. Condition one: the income has been subject to tax in the source jurisdiction with a headline rate of at least fifteen percent. Condition two: the highest CIT rate of the source country is at least fifteen percent at the time the income is received in Singapore. Condition three: the company is tax-resident in Singapore and demonstrates economic substance. All six peer countries in our analysis qualify — US at twenty-one percent, Canada at fifteen percent federal plus provincial, Indonesia at twenty-two percent, Brazil at thirty-four percent, Mexico at thirty percent, and Australia at thirty percent. This means Singapore-sourced income from any of these jurisdictions is fully exempt when remitted. Now, the Pillar 2 overlay: Singapore enacted its Domestic Minimum

Top-up Tax effective January 2025 for MNE groups with more than seven hundred fifty million euros in consolidated revenue. It is a Qualified DMTT, meaning the top-up tax stays in Singapore rather than being ceded to the parent country via the Income Inclusion Rule. The SBIE — Substance-Based Income Exclusion — deducts five percent of eligible payroll costs plus five percent of tangible asset carrying value from the GloBE base, reducing the top-up amount. The worked example on the slide shows a pioneer company paying five percent CIT: pre-Pillar 2, total tax on fifty million is two point five million at five percent. Post-Pillar 2, the DTT top-up of five million brings total tax to seven point five million at fifteen percent. For in-scope MNEs, rate-based incentives like Pioneer, DEI, and GTP effectively floor at fifteen percent. Groups under seven hundred fifty million euros are completely unaffected.

Slide 23: Section IV — Debt Structuring & Interest Limitation

We now enter one of the most technically dense areas of cross-border tax planning: intercompany debt structures. This section covers interest deductibility rules across all seven jurisdictions, a worked multi-tier leveraging case study, and a deep dive on Canada's new EIFEL rules and SBD phase-out mechanics. The fundamental principle remains unchanged — interest deducted at a high-tax subsidiary and received at a low-tax parent creates a rate arbitrage — but the rules governing how much interest you can deduct have tightened significantly in 2024 and 2025.

Slide 24: Interest Deductibility & Thin Capitalisation

The convergence toward EBITDA-based limits is now nearly universal in our seven jurisdictions. The United States limits net business interest expense to thirty percent of adjusted taxable income under IRC section 163(j), with a twenty-nine million dollar de minimis threshold and indefinite carry-forward of disallowed interest. Canada's EIFEL rules under ITA section 18.2, effective June 2024, impose the same thirty percent of tax-EBITDA cap, but with a critical difference: they apply to interest paid to both related and arm's length lenders, unlike many OECD peers. The de minimis is two hundred fifty thousand Canadian dollars of net interest, and excess capacity carries forward twenty years. Mexico uses a hybrid: thirty percent of EBITDA plus a three-to-one debt-to-equity ratio, with disallowed interest carried forward ten years. Australia has replaced its old safe harbour DER test with a thirty percent of tax-EBITDA rule from July 2024, with a two million Australian dollar de minimis and fifteen-year carry-forward. Now for the outliers: Indonesia still uses a generous

four-to-one debt-to-equity ratio under PMK 169/2015, with excess interest permanently non-deductible — no carry-forward. Brazil applies a two-to-one DER for related parties and a punitive zero point three-to-one ratio for lending from tax haven jurisdictions under Lei 12.249 Articles 24 through 26. And Singapore has no fixed limit at all — interest must simply be arm's length under ITA section 34D, making it the most flexible regime for intercompany financing. The design principle is clear: structure your intercompany debt before operations begin, because exceeding these limits creates permanent disallowance in most jurisdictions.

Slide 25: Multi-Tier Leveraging — SG → ID & AU Case Study

As the flow diagram and calculation tables on this slide illustrate, this case study shows the mechanics of Singapore as the intercompany lender — which works precisely because Singapore has no thin capitalisation limit. The Singapore parent lends to both its Indonesian and Australian subsidiaries, earning interest at seventeen percent CIT while the subsidiaries deduct at twenty-two and thirty percent respectively. For the Indonesian subsidiary: a twenty million dollar intercompany loan at six percent produces one point two million in annual interest expense. The DER test: twenty million debt divided by five million equity equals four-to-one — exactly at the limit, so it passes. All one point two million is deductible, generating a tax shield of two hundred sixty-four thousand at twenty-two percent. Withholding tax on the interest under the Singapore-Indonesia treaty at ten percent costs one hundred twenty thousand. Net annual benefit: one hundred forty-four thousand. For the Australian subsidiary: a fifteen million dollar loan at five point five percent produces eight hundred twenty-five thousand in interest expense. The EBITDA test: thirty percent of six million tax-EBITDA is one point eight million cap — eight hundred twenty-five thousand is well within the limit. Full deduction, generating a tax shield of two hundred forty-seven thousand five hundred at thirty percent. WHT under the Singapore-Australia treaty at ten percent costs eighty-two thousand five hundred. Net annual benefit: one hundred sixty-five thousand. Combined annual net benefit across both subsidiaries: three hundred nine thousand on thirty-five million deployed. The arbitrage works because Singapore's lack of thin cap limits makes it the ideal intercompany lender, and the rate differential — deducting at twenty-two or thirty percent while including at seventeen percent — generates the spread.

Slide 26: Canada EIFEL & SBD Phase-Out Mechanics

Canada's EIFEL rules deserve dedicated attention because they are the newest major interest limitation in our seven jurisdictions, effective June 2024. The cap is thirty percent of tax-EBITDA, but unlike many peers, EIFEL applies to interest paid to both related and arm's length lenders — this is broader than the OECD recommendation and catches acquisition debt from third-party banks, not just intercompany loans. The de minimis exemption at two hundred fifty thousand Canadian dollars of net interest is generous enough to exclude most small businesses. Excess capacity and restricted interest both carry forward twenty years, and a group ratio election allows an entity to use the consolidated group's net interest-to-EBITDA ratio if it exceeds thirty percent. CCPCs with taxable capital of fifty million or less are excluded. Now the SBD phase-out traps: the Small Business Deduction gives CCPCs a nine percent federal rate on the first five hundred thousand. But the capital grind reduces this when the associated group's taxable capital exceeds ten million, using the formula: five hundred thousand times fifteen million minus taxable capital, divided by five million. At fifteen million in capital, SBD is fully eliminated. The passive income grind is equally dangerous: SBD is reduced by five dollars for every one dollar of adjusted aggregate investment income above fifty thousand, fully eliminated at one hundred fifty thousand of AAII. The SR&ED interaction compounds this: CCPCs eligible for SBD also qualify for the thirty-five percent refundable ITC on the first three million of R&D expenditure. Lose CCPC status or exceed the thresholds, and you drop to the fifteen percent non-refundable ITC. Monitor taxable capital and passive income carefully — the ten to fifteen million capital band is a critical planning zone.

Slide 27: Section V — R&D Strategy, Incentives & BEPS Pillar 2

This section addresses the intersection of R&D incentives and Pillar 2 — one of the most consequential changes in international tax planning. The key concept is the distinction between Qualified Refundable Tax Credits, which survive Pillar 2 intact, and rate reductions, which are topped up to fifteen percent. We will walk through where to place your R&D hub, a five million dollar spend comparison across all seven jurisdictions pre and post Pillar 2, special incentives, and the Pillar 2 incentive restructuring matrix.

Slide 28: Where to Place Your R&D Hub

The choice of R&D location should now be driven by one overriding factor for in-scope MNEs: whether the incentive is a Qualified Refundable Tax Credit or a rate reduction. QRTCs are excluded from the GloBE ETR calculation, meaning they deliver their full stated benefit regardless of Pillar 2. Rate reductions push the local ETR below fifteen percent and trigger top-up tax. Singapore's EIS at four hundred percent enhanced deduction on qualifying R&D under ITA section 14C delivers excellent value — one million spend generates two hundred seventy-two thousand in tax savings — but it is a rate reduction. For in-scope MNEs, the EIS effect is capped at what the fifteen percent floor allows. Indonesia's three hundred percent super deduction similarly delivers four hundred forty thousand per million at twenty-two percent CIT, but it too is a rate reduction. Canada's SR&ED programme is the standout: thirty-five percent refundable ITC on the first three million for CCPCs under ITA section 127.44. Refundable means cash back even if there is no tax liability, and it is a QRTC — fully safe under Pillar 2. Australia's forty-three point five percent refundable offset for small companies is also QRTC-safe. The US R&D credit at twenty percent under IRC section 41 qualifies as QRTC as well, though since 2022, R&D expenditure must be amortised over five years domestic or fifteen years foreign under section 174 — a significant cash flow change. Brazil's Lei do Bem at sixty to eighty percent extra deduction and Mexico's thirty percent incremental EFIDT credit round out the options. The bottom line: for groups above seven hundred fifty million euros, shift R&D from rate-reduction jurisdictions to QRTC jurisdictions.

Slide 29: R&D Hub Arbitrage — $5M Spend Comparison

This table shown on the slide is the decision tool for R&D location. On five million dollars of qualifying expenditure, here are the annual tax savings pre and post Pillar 2. Singapore EIS: pre-Pillar 2, one point three six million saved; post-Pillar 2, seven hundred fifty thousand — a forty-five percent reduction in R&D benefit for in-scope MNEs. Indonesia super deduction: pre-Pillar 2, two point two million; post-Pillar 2, one point two five million — a forty-three percent reduction. These are dramatic losses. Now compare with QRTC jurisdictions: Canada CCPC SR&ED, one point zero five million both pre and post Pillar 2 — completely unchanged. Australia refundable offset, nine hundred twenty-five thousand both pre and post — unchanged. US R&D credit, one million both pre and post — unchanged. Brazil's eighty percent extra deduction at one point three six million is technically a rate reduction but Brazil has not yet enacted Pillar 2, so it is marked not applicable yet. The winner post-Pillar 2 is

Canada and Australia — they maintain full R&D benefits because refundable credits are excluded from GloBE ETR calculations. Singapore and Indonesia lose forty to forty-five percent of their R&D advantage for in-scope MNEs. For groups below seven hundred fifty million euros, none of this matters and Singapore's EIS and Indonesia's super deduction remain the most generous on an absolute basis.

Slide 30: Special Incentives & Concessionary Rates

Beyond R&D, each jurisdiction offers targeted incentives that can transform effective rates. Indonesia's Tax Holiday under PMK 130/2020 is the most generous: one hundred percent CIT exemption for pioneer industries, with duration scaled to investment size — five years for five hundred billion to one trillion rupiah, up to twenty years for above thirty trillion rupiah, plus a fifty percent CIT reduction for two additional years. The Tax Allowance under PP 78/2019 offers thirty percent of investment deducted over six years, accelerated depreciation, and NOL extended to ten years. Special Economic Zones under PP 40/2021 provide ten to one hundred percent CIT reduction for twenty-five years. Mexico stacks two powerful programmes: the border zone incentive delivers approximately twenty percent effective ISR — a one-third credit on CIT — combined with eight percent IVA in Northern and Southern Border Zones. The IMMEX maquiladora programme provides import duty-free treatment for export manufacturing with a safe harbour transfer pricing rule: taxable income is the higher of six point nine percent of assets or six point five percent of total costs. We will see in the corridor analysis how these stack to produce ETRs below three percent. Singapore offers Pioneer Status at zero to five percent CIT for five to fifteen years, DEI at five to ten percent, and GTP at five to ten percent on qualifying trading income — but for in-scope MNEs post-Pillar 2, all of these effectively floor at fifteen percent. Brazil's SUDENE/SUDAM offers seventy-five percent IRPJ reduction for ten years in northeast and north regions. Canada's new clean tech ITC at thirty percent is refundable and QRTC-safe. The general rule remains: substance is required for all incentives. Shell entities will not survive audit.

Slide 31: Global Minimum Tax — What Changes in 2025

The Pillar 2 GloBE rules impose a fifteen percent minimum ETR for MNE groups with more than seven hundred fifty million euros in consolidated revenue. If a group's ETR in any jurisdiction falls below fifteen percent, the parent country collects a top-up tax. Let me walk

through the adoption status table and SBIE calculation shown on this slide: Singapore has enacted its Qualified DMTT from January 2025. Canada has enacted both DMTT and UTPR. Australia has DMTT from January 2025. Brazil has a Qualified DMTT under consideration. Indonesia is under consideration but has not yet enacted. Mexico has taken no action. The US has GILTI, which acts as a minimum tax but is not GloBE-aligned — different base, different rate, different mechanics. The SBIE exclusion is your primary tool: five percent of eligible payroll costs plus five percent of tangible asset carrying value are deducted from the GloBE income base before calculating the ETR. The worked example on the slide shows a Singapore entity paying seventeen percent standard CIT on one hundred million of GloBE income. CIT paid is seventeen million. SBIE deductions total three point five million, reducing the adjusted GloBE income to ninety-six point five million. ETR equals seventeen million divided by ninety-six point five million — seventeen point six percent, which exceeds fifteen percent, so no top-up. The key insight: Singapore's standard seventeen percent rate already clears the fifteen percent minimum for most entities. Top-up mainly affects entities on Pioneer, DEI, or GTP concessionary rates. SBIE further cushions entities with significant payroll and tangible assets in Singapore.

Slide 32: Pillar 2 Incentive Restructuring Matrix

The three-column matrix visualization on this slide divides all incentives across our seven jurisdictions into three categories and should guide your restructuring decisions. Column one — survives Pillar 2: Canada SR&ED at thirty-five percent refundable ITC is QRTC-safe. Australia R&D at forty-three point five percent refundable offset is QRTC-safe. US R&D at twenty percent credit has confirmed QRTC treatment. Canada clean tech at thirty percent refundable ITC is QRTC. Australia small business CGT concessions are not rate-based so they survive. Singapore standard seventeen percent is above the fifteen percent floor. Indonesia standard twenty-two percent is above the floor. Mexico border zone at approximately twenty percent is above the floor. Column two — diminished by Pillar 2: Singapore Pioneer at zero to five percent gets topped up to fifteen. Singapore DEI at five to ten percent — topped up. Singapore GTP — topped up. Singapore EIS four hundred percent — rate reduction effect capped. Indonesia Tax Holiday at zero percent — topped up to fifteen. Indonesia three hundred percent super deduction — capped. Indonesia KEK — topped up. Brazil SUDENE/SUDAM may push below fifteen percent. Column three — unaffected because below the seven hundred fifty million euro threshold: this is important — all incentives remain fully intact for groups below the revenue threshold. Singapore SUTE and PTE target SMEs well below threshold. Indonesia MSME at zero point five percent is

capped at IDR four point eight billion revenue. Brazil Simples Nacional is capped at four point eight million reais. Canada SBD at nine percent applies to CCPCs with five hundred thousand limit. The action item for in-scope MNEs: restructure R&D and IP from rate-reduction jurisdictions to QRTC jurisdictions — primarily Canada and Australia. Retain rate-based incentives only where SBIE exclusion keeps ETR above fifteen percent.

Slide 33: Singapore EIS & PTE/SUTE Optimization

As the comparison table on this slide details, this deep dive covers two Singapore-specific planning areas. First, the EIS four hundred percent deduction: scope covers R&D performed in Singapore on qualifying activities under ITA section 14C. The combined EIS tax benefit is capped at four hundred thousand Singapore dollars per year of assessment. Startups can elect a twenty percent cash payout on up to one hundred thousand of qualifying expenditure — useful for pre-revenue companies that cannot utilise deductions. For in-scope MNEs above seven hundred fifty million euros, EIS reduces the GloBE ETR, and the DTT top-up erodes the benefit. Strategy: for sub-threshold groups, EIS delivers maximum value. For in-scope MNEs, consider splitting R&D — keep EIS for Singapore SBIE-eligible activities where the substance exclusion keeps ETR above fifteen percent, and move the balance to Canada or Australia for QRTC treatment. Second, PTE versus SUTE comparison on two hundred thousand in chargeable income: under PTE, seventy-five percent exemption on the first ten thousand and fifty percent on the next one hundred ninety thousand produces ninety-seven thousand five hundred taxable and sixteen thousand five hundred seventy-five tax — eight point two nine percent effective. Under SUTE in years one through three, seventy-five percent on the first one hundred thousand and fifty percent on the next one hundred thousand produces seventy-five thousand taxable and twelve thousand seven hundred fifty tax — six point three eight percent effective. SUTE saves three thousand eight hundred twenty-five per year versus PTE in the first three years. After year three, the company reverts to PTE rates. Both programmes are designed for SMEs well below the Pillar 2 threshold.

Slide 34: Section VI — Transfer Pricing, PE Risk & Anti-Avoidance

This section covers the compliance infrastructure that supports and constrains all the structures we have discussed. Transfer pricing documentation requirements, permanent establishment risk, construction and service PE threshold arbitrage, and domestic and treaty

anti-avoidance rules. These are the guardrails — ignore them and your carefully designed structure fails at the audit stage.

Slide 35: Transfer Pricing Documentation Requirements

All seven jurisdictions require arm's length pricing on intercompany transactions — no exceptions. The documentation framework follows the OECD three-tier model: Master File providing a group-wide overview, Local File with detailed entity-level analysis, and Country-by-Country Report for groups above the revenue threshold. The US is the outlier — it uses IRC section 482 documentation instead of a formal Local File but the substance is similar. The most significant development here is Brazil's shift to OECD arm's length standard under Lei 14.596/2023, replacing the old fixed-margin methods — PRL, PIC, and CPL — with CUP, TNMM, and profit split. This is the most significant transfer pricing change in Brazilian history and companies must rebuild their TP documentation from scratch. CbCR thresholds vary: US at eight hundred fifty million, Canada at C seven hundred fifty million, Indonesia at IDR eleven trillion, Brazil at R two point two six billion, Mexico at MXN twelve billion, Australia at A one billion, Singapore at S one point one two five billion. Penalty regimes also vary dramatically: the US imposes twenty to forty percent penalties, while Australia can reach twenty-five to fifty percent and Mexico fifty to seventy-five percent. Australia's Diverted Profits Tax adds a forty percent penalty rate — ten percentage points above standard CIT — for MNEs with more than one billion in global revenue and twenty-five million in Australian revenue that artificially shift profits offshore. This sits on top of the Part IVA GAAR and is an effective deterrent.

Slide 36: Permanent Establishment — When Does a Tax Obligation Arise?

A PE is a sufficient physical or commercial presence that triggers local tax obligations on profits attributable to that presence. Accidentally creating a PE means filing local tax returns and paying local CIT without advance planning or incentives — this is one of the costliest unforced errors in cross-border tax. Construction PE thresholds split into two groups: Indonesia, Brazil, and Mexico use six months — a shorter threshold creating higher risk. The US, Canada, Australia, and Singapore use twelve months — the standard OECD threshold. Service PE thresholds are where Indonesia stands out: just sixty days of service creates a

PE — extremely short, meaning even brief consulting engagements trigger full PE exposure. Brazil, Mexico, Canada, Australia, and Singapore all use one hundred eighty-three days. The US has no specific service PE rule, relying instead on the fixed place of business test. Agent PE is universal: a dependent agent who habitually concludes contracts can create a PE in all seven jurisdictions. Indonesia's PE definition is the broadest with eighteen categories. Watch for digital PE developments — no formal digital PE exists in any of our seven jurisdictions, but Indonesia applies VAT on digital services and Australia uses its Multinational Anti-Avoidance Law to address digital presence.

Slide 37: Construction PE Threshold Arbitrage

The PE threshold comparison table shown on this slide covers all seven jurisdictions — construction, service, agent, and digital — and highlights the high-risk scenarios with mitigation strategies. Indonesia's sixty-day service PE is the most dangerous trap: two months of on-site consulting with the same personnel creates a full PE, triggering Indonesian tax filing obligations and twenty-two percent CIT on attributable profits. Mitigation: structure as short rotations with different personnel, carefully tracking individual days. The six-month construction PE in Indonesia, Brazil, and Mexico requires phasing projects to stay under threshold or using local subcontractors for the execution phase while keeping design and project management offshore. Agent PE is increasingly scrutinised post-BEPS: local sales representatives who negotiate and close deals create PE even without a physical office. Commissionnaire structures — where the agent acts in their own name but for the principal's account — can reduce agent PE risk, but post-BEPS Article 12 narrowed this significantly. Contract structuring is a viable mitigation: split large projects into sub-threshold phases with genuine commercial rationale, not artificial splitting that would be caught by substance-over-form doctrines. Personnel rotation requires meticulous tracking — the sixty-day Indonesian threshold means you need different team members for sequential visits, with proper documentation of the rotation rationale.

Slide 38: GAAR, Anti-Treaty Shopping & Substance

Every jurisdiction has a General Anti-Avoidance Rule, and each uses a slightly different test. The US codified its Economic Substance Doctrine under IRC section 7701(o). Canada's ITA section 245 applies a misuse-and-abuse test with the CRA actively challenging aggressive structures. Australia's Part IVA uses a dominant purpose test — if the dominant purpose of

an arrangement is to obtain a tax benefit, the arrangement can be voided. Indonesia uses substance over form under Pasal 18(3). Brazil requires a business purpose under the general rules. Mexico introduced a business reason test in 2020 under CFF Article 5-A. Singapore's ITA section 33 allows tax authorities to disregard arrangements designed to avoid tax. On the treaty side, two anti-abuse mechanisms dominate. Limitation on Benefits requires genuine resident status with substantial activities — used in all US treaties, as well as Singapore, Canada, Mexico, and Indonesia treaties. Principal Purpose Test denies treaty benefits if the main purpose was obtaining the benefit — used in Canada, Australia, Singapore, and Mexico via the MLI. The US has not signed the MLI, so there is no PPT in US treaties — only LOB. The substance requirement is the thread connecting all of these: every holding company, IP entity, or financing vehicle must have genuine management, decision-making, staff, and office space. Shell entities face GAAR challenge, treaty denial, and Pillar 2 SBIE denial simultaneously.

Slide 39: Section VII — Investment Corridor Analysis & Case Studies

This is where everything comes together. We will walk through four specific investment corridors with full ETR calculations, and then examine a multi-jurisdiction loss utilisation strategy. Each corridor analysis applies the rates, treaties, CFC rules, and incentives we have discussed to show the true all-in cost of operating in each market.

Slide 40: SG → ID Corridor — Full ETR Walk-Through

The Singapore to Indonesia corridor is one of the most common in Southeast Asia, and the ETR walk-through table on this slide shows a baseline combined rate of twenty-nine point eight percent on ten million in pre-tax profit. Step by step: Indonesian CIT at twenty-two percent takes two point two million. After-tax profit is seven point eight million. WHT on dividends at ten percent under the Singapore-Indonesia DTA takes seven hundred eighty thousand. Cash received in Singapore: seven point zero two million. Singapore FSIE exemption applies — zero additional tax. Total tax is two point nine eight million for a twenty-nine point eight percent combined ETR. Now the optimisation levers. First, if the Indonesian subsidiary qualifies for the Tax Holiday, CIT drops to zero percent and the combined ETR falls to just ten percent — the WHT alone. Second, the listed company discount reduces CIT

from twenty-two to nineteen percent, saving three percentage points and bringing combined ETR to twenty-seven point five percent. Third, the reinvestment exemption under PP 9/2021 can eliminate WHT entirely if dividends are reinvested in Indonesia within three years. Fourth, intercompany debt: Singapore parent lends at arm's length to the Indonesian subsidiary, which deducts interest at twenty-two percent while Singapore includes interest income at seventeen percent — a five-percentage-point arbitrage on every dollar of interest. Fifth, R&D in Indonesia at three hundred percent super deduction further reduces Indonesian taxable income, though for in-scope MNEs this benefit is now capped by Pillar 2. Optimised corridor ETR with Tax Holiday plus reinvestment exemption can reach zero percent during the holiday period.

Slide 41: SG → AU Corridor — Franking vs. Unfranked

As the comparison visualization on this slide shows, the Singapore to Australia corridor hinges entirely on franking. Franked dividend route: Australian subsidiary earns ten million pre-tax, pays three million CIT at thirty percent, distributes seven million with three million in franking credits, zero WHT on the franked dividend, cash to Singapore is seven million, FSIE exemption applies, combined ETR is thirty percent. Unfranked dividend route: same pre-tax income, same CIT, but no franking credit — WHT at fifteen percent under the Singapore-Australia DTA takes one point zero five million, cash to Singapore is five point nine five million, combined ETR is forty point five percent. That is a ten-and-a-half-percentage-point difference driven entirely by the franking status of the dividend. The planning action is straightforward: always maintain sufficient franking account balance before declaring dividends. Conduit foreign income under Division 802 adds another dimension: foreign income flowing through an Australian subsidiary can be distributed to non-residents at zero percent WHT as conduit foreign income — this is valuable for Australian holding structures redistributing income sourced from third countries. The BRE route is also worth noting: if the Australian subsidiary qualifies as a base rate entity with turnover below fifty million, CIT drops to twenty-five percent, and franked dividends carry twenty-five percent franking credits with no WHT — yielding twenty-five percent combined ETR, the lowest achievable on this corridor without concessionary rates. Finally, R&D in Australia at forty-three point five percent refundable offset is QRTC-safe under Pillar 2, making genuine R&D substance in Australia attractive for Singapore-parented groups.

Slide 42: US → CA Corridor & GILTI HTE

As the corridor calculation table on this slide demonstrates, the US to Canada corridor shows how the GILTI High-Tax Exclusion transforms the economics of a high-tax subsidiary. Starting with the baseline: a Canadian subsidiary in Ontario earns ten million in pre-tax income. Canadian CIT at fifteen percent federal plus eleven point five percent Ontario provincial equals twenty-six point five percent — two point six five million. After-tax profit is seven point three five million. WHT on dividends under the US-Canada DTA at five percent takes three hundred sixty-seven thousand five hundred. Cash to US parent: six point nine eight million. Combined pre-credit ETR: thirty point two percent. Now, the US section 245A dividends-received deduction provides a one hundred percent DRD for dividends from ten-percent-or-more-owned foreign corporations — this eliminates US tax on the Canadian dividends at the distribution level. The US only pays residual GILTI on CFC inclusions. And here is where HTE matters: Canadian CIT at twenty-six point five percent exceeds the GILTI HTE threshold of eighteen point nine percent. When the HTE election is made, the Canadian subsidiary's income is excluded from the GILTI inclusion entirely. Without HTE, the US parent would include the Canadian income in GILTI at ten point five percent effective with an eighty percent FTC limitation, creating double taxation. With HTE, the result is zero additional US tax — total ETR is simply the twenty-six point five percent Canadian rate plus three point seven percent WHT. The SR&ED bonus layers on top: the Canadian CCPC subsidiary can claim the thirty-five percent refundable ITC on qualifying R&D. This is a cash credit — not a rate reduction — so it reduces the Canadian ETR without affecting GILTI HTE qualification. Elegant.

Slide 43: Mexico Maquiladora & Border Zone Stacking

As the calculation table on this slide shows, Mexico's maquiladora programme combined with the border zone incentive produces one of the lowest manufacturing ETRs globally. Let us walk through the IMMEX safe harbour calculation. A maquiladora with fifty million in assets and thirty million in total costs must report taxable income as the higher of six point nine percent of assets — three point four five million — or six point five percent of costs — one point nine five million. The higher amount, three point four five million, becomes taxable income. CIT at thirty percent produces one point zero three five million in tax. Effective rate on the fifty million asset base: two point zero seven percent. Effective rate on the thirty million cost base: three point four five percent. That is already extraordinarily low. Now stack the border zone incentive: the Northern and Southern Border Zone ISR credit reduces

effective CIT to approximately twenty percent — a one-third credit on the standard thirty percent rate — and IVA drops from sixteen to eight percent. Apply the border zone credit to the IMMEX taxable base: three point four five million times twenty percent effective equals six hundred ninety thousand in total tax. Effective rate on thirty million in costs: two point three percent. The EFIDT R&D credit at thirty percent on incremental R&D expenditure under LISR Article 202 is stackable with both border zone and IMMEX, though capped at fifty million pesos per taxpayer per year. This is the US nearshoring play: a Mexico maquiladora plus border zone delivers two to three percent manufacturing ETR with import duty-free access to the US market under USMCA. Genuine operations, substance, and the ninety percent export requirement are mandatory.

Slide 44: Multi-Jurisdiction Loss Utilisation Cycle

As the timeline and comparison table on this slide illustrate, this slide presents a branch-to-subsidiary conversion strategy that maximises the value of startup losses across jurisdictions. The cycle has four phases. Years one and two — the branch phase: operate as a branch of the Singapore, US, or Canadian parent. Startup losses flow through and offset the parent's home-country taxable income in real time. In a worldwide-system country like the US or Canada, this means immediate cash tax savings at the parent level. Year three — breakeven analysis: model projected profitability. If the operation will be profitable from year four onward, prepare for incorporation as a local subsidiary. Years four onward — the subsidiary phase: convert the branch to a locally incorporated subsidiary. Now the entity can access local incentives — Indonesia Tax Holiday, Canada SBD, Australia BRE, Singapore PTE — that were unavailable to a branch. Reinvest profits locally without triggering branch profits tax. Ongoing — optimise repatriation: use treaty WHT rates, franking credits, JCP, or FSIE exemption for tax-efficient profit extraction. The NOL rules by country are critical to this strategy. Singapore offers indefinite carry-forward with a one-year carry-back capped at one hundred thousand. Australia has indefinite carry-forward with a one-year carry-back for groups under five billion. The US has indefinite carry-forward but no carry-back and an eighty percent utilisation cap — meaning you always pay tax on twenty percent of profits even with losses available. Canada offers twenty-year carry-forward with three-year carry-back for immediate refund. Indonesia has only five-year carry-forward — the shortest in our group — extendable to ten years under Tax Allowance. Brazil has indefinite carry-forward but with a thirty percent annual utilisation cap, meaning a one hundred million loss takes approximately twelve years to fully utilise. The Indonesia risk is clear: the five-year window means startup

losses can permanently expire if profitability takes too long — always consider the branch phase for Indonesian operations to preserve loss value at the parent level.

Slide 45: Section VIII — Investor Framework, Screening & Exit Planning

This section shifts from operational structuring to investor-level considerations: how do you get into a market, how do you score markets against each other, and how do you get out tax-efficiently? We cover foreign investment screening and restrictions, non-resident capital gains tax on share disposals, the post-Pillar 2 investor scorecard, and the four key structuring questions.

Slide 46: Foreign Investment Screening & Restrictions

Investment openness varies enormously across our seven jurisdictions, and getting caught by screening requirements at the wrong stage can delay market entry by months. Singapore is the most open — ACRA registration takes one to three days with minimal restrictions, scoring nine out of ten on openness. Canada's Investment Canada Act applies at C one point three two six billion for WTO-member investors and C five hundred twelve million for state-owned enterprises, with national security review at any amount. The US CFIUS/FIRRMA framework has no dollar threshold for national security — any transaction involving critical technology, critical infrastructure, or sensitive personal data can be reviewed, with a forty-five-plus-forty-five-day review timeline and increasing scrutiny. Australia's FIRB thresholds are three hundred ten million for agreement-country investors and two hundred eighty-nine million for non-agreement countries, but zero threshold for national security and all residential real estate. Mexico restricts petroleum and electricity entirely, with ten to forty-nine percent caps on transport, telecom, and mining. Indonesia requires BKPM/OSS registration for all FDI, with the Positive Investment List controlling sector caps — and no freehold land ownership. Brazil requires Central Bank RDE-IED registration for all inbound investment, with caps on media at thirty percent, airlines at twenty percent voting shares, and rural land at twenty-five percent of municipality area. The openness ranking: Singapore at nine, Canada at eight, US and Australia tied at seven, Mexico at six, Indonesia and Brazil tied at five.

Slide 47: Non-Resident Capital Gains Tax on Share Disposal

As the bar chart comparing CGT rates on this slide makes clear, exit planning should be designed at entry — the disposal structure determines whether your gains are taxed at zero or twenty-five percent. Singapore is the cleanest exit jurisdiction: zero percent capital gains tax, full stop. No exceptions, no conditions, no lookback provisions. The United States applies FIRPTA at twenty-one percent on US Real Property Interests plus fifteen percent withholding — but shares in a US company are only USRPI if more than fifty percent of assets are US real property, and publicly traded shareholders at five percent or less are exempt. Indonesia levies zero point one percent final tax on listed share transfers and five percent final on unlisted — relatively modest. Canada applies twenty-five percent WHT on gains from Taxable Canadian Property, but TCP only applies when more than fifty percent of share value derives from Canadian real property in the prior sixty months, and many treaties reduce or eliminate the tax. A clearance certificate under ITA section 116 is required. Mexico charges ten percent on share disposal gains, with an optional thirty-five percent on net gains. Australia applies twelve point five percent WHT on Taxable Australian Property above seven hundred fifty thousand — TAP requires shares where more than fifty percent of assets are Australian real property and the seller holds ten percent or more. Brazil charges fifteen percent on gains generally, rising to twenty-five percent if the seller is in a tax haven jurisdiction. The strategic recommendation: structure disposals through Singapore whenever possible to access zero CGT. For US real property, consider a REIT structure for FIRPTA exceptions. For Canadian and Australian investments, ensure shares are not real property rich at the time of disposal.

Slide 48: International Investor Scorecard

The scorecard bar chart visualization on this slide ranks all seven jurisdictions on a post-Pillar 2 adjusted basis, and the shifts from pre-Pillar 2 rankings are telling. Singapore remains number one at eight point eight out of ten, down from nine point three — the DMTT reduces its incentive advantage for large MNEs, but it is still the best jurisdiction for holding, headquarters, and treasury activities. Pillar 2 impact: minus zero point five, driven by Pioneer, DEI, and GTP being topped up to fifteen percent. Australia moves to second at seven point four, up from seven point two — its QRTC advantage on R&D gains relative value post-Pillar 2, and the franking system is unaffected. Pillar 2 impact: plus zero point two. Canada rises to seven point zero from six point seven — the SR&ED refundable credit gains value and EIFEL adds complexity but also predictability. Pillar 2 impact: plus zero point three.

Mexico holds at six point five — the border zone survives above fifteen percent and the maquila safe harbour remains intact. The US drops slightly to six point one from six point two — FDII phase-down and GILTI rate increase post-2025 reduce competitiveness. Indonesia sees the biggest drop to five point zero from five point four — the Tax Holiday value is significantly eroded for in-scope MNEs as zero percent gets topped up to fifteen. Brazil is at five point five — the CBS/IBS transition adds uncertainty. The scoring dimensions cover investment openness, dividend tax efficiency, capital gains tax, branch tax cost, FX and repatriation ease, CFC regime severity, treaty network breadth, PE risk, and the new Pillar 2 impact dimension.

Slide 49: Choosing Your Structure — 4 Key Questions

This decision framework distils the entire presentation into four questions. Question one: where is your parent company? Singapore parent gives maximum flexibility with any holding structure. Canada and Australia parents should focus on active business income in subsidiaries. US parents must plan for GILTI and push CFC ETR above eighteen point nine percent. Brazil parents cannot avoid universal CFC — focus on FTC maximisation and JCP. Mexico and Indonesia parents face moderate CFC and should manage passive income thresholds. Question two: what activity are you doing? Manufacturing points to Mexico IMMEX, Indonesia Tax Holiday, or Canada manufacturing and processing. R&D and IP development points to Singapore EIS, Canada SR&ED, or Australia's forty-three point five percent offset. Trading and treasury goes to Singapore GTP at five to ten percent. Financial services goes to Singapore FSI at five to thirteen point five percent. Question three: what is your profitability timeline? Expecting losses first — use a branch to offset parent profits. Immediately profitable — subsidiary to access local incentives. Long-term capital intensive — Indonesia Tax Holiday for up to twenty years at zero percent. Cyclical business — Canada with its three-year loss carry-back for immediate refund. Question four: exit strategy? Share sale — structure through Singapore for zero CGT. IPO — Indonesia offers reduced nineteen percent CIT for listed companies. Ongoing dividend repatriation — Australia franked dividends at zero WHT or Brazil JCP route.

Slide 50: Section IX — Execution, Compliance & Statutory Authority

Our final section covers the practical execution: the cross-border tax planning checklist and the primary legislation index. The best structure in the world delivers nothing if

implementation is flawed. Missed filing deadlines, expired DGT forms, depleted franking accounts, or inadequate transfer pricing documentation can each cost more than the structure saves.

Slide 51: Cross-Border Tax Planning Checklist

This checklist is organised into three phases and should be treated as a living document throughout the life of your cross-border structure. Pre-entry items: assess parent country CFC exposure — this is step one before any other decision. Select the holding jurisdiction based on both CFC rules and treaty access. Run the branch versus subsidiary ETR analysis we discussed in slide fifteen. Design capitalisation within thin cap and EIFEL limits — do this before operations begin, not after. Apply for incentives — Tax Holiday applications in Indonesia, Pioneer Status in Singapore, SR&ED registration in Canada, and PTE elections. Establish transfer pricing policy and documentation from day one. Map the treaty network for all planned corridors. Assess Pillar 2 in-scope status if group revenue exceeds seven hundred fifty million euros. Model DMTT and IIR impact on concessionary rates. Check FIRB, CFIUS, BKPM, and ICA screening requirements. Review land and real property ownership restrictions. Operational items: maintain Master File, Local File, and CbCR. Monitor thin cap DER and EBITDA ratios quarterly — not annually. Track EIFEL restricted interest carry-forwards in Canada. Track NOL carry-forwards within expiry limits, especially the five-year window in Indonesia. Optimise R&D location based on QRTC versus rate reduction analysis. File DGT Forms in Indonesia and W-8BEN-E in the US on time — expired forms mean full statutory WHT. Maintain economic substance for all entities. Monitor PE exposure for cross-border services. Review GAAR compliance on intercompany transactions. Manage VAT and GST registration and input credit recovery. Track Pillar 2 GloBE returns. Repatriation and exit items: use JCP, not dividends, for Brazil repatriation. Time dividend declarations to maximise Australian franking credits. Plan share disposal structures through Singapore for zero CGT.

Slide 52: Primary Legislation Index

This slide provides the statutory authority for every provision we have discussed — treat it as your reference card. For the United States: IRC sections 11, 41, 55, 59A, 163(j), 245A, 250, 482, 897, 901 through 909, and 951A cover the full spectrum from CIT to GILTI. For Canada: ITA sections 18.2 for EIFEL, 91 through 95 for FAPI, 125 for SBD, 126 for FTC, 127.44 for

SR&ED, 212 for WHT, 219 for branch tax, and 245 for GAAR. For Indonesia: UU 7/2021 HPP, Pasal 17, 18(3), 24, and 26 of the income tax law, plus PMK 130/2020 for Tax Holiday, PMK 169/2015 for thin cap, and Perpres 10/2021 for the investment list. For Brazil: the RIR/2018 Decreto 9.580, Lei 9.249 Article 9 for JCP, Lei 12.973 Articles 76 through 92 for CFC, Lei 14.596/2023 for the new OECD transfer pricing rules, and EC 132/2023 for CBS/IBS reform. For Mexico: LISR Articles 5, 9, 57, 161, 176 through 178, and 182 for IMMEX. For Australia: ITAA 1997 Divisions 202 for franking, 355 for R&D, 770 for FITO, 802 for conduit foreign income, 820 for thin cap, and 855 for non-resident CGT, plus Part X for CFC and Part IVA for GAAR. For Singapore: ITA sections 10(1), 13(1), 13(8), 14C, 33, 34D, 43A, 43B, 43C, 44, and 50A, plus the DMTT Act 2024. All data reflects 2024/2025 tax year rates — always verify current rates with official sources and consult qualified tax professionals.

Slide 53: Closing Slide

Thank you for staying with us through fifty-three slides of advanced international tax architecture. Let me leave you with the key takeaways. First, structure drives ETR — the same business activity can produce combined effective tax rates ranging from two percent in a Mexico maquiladora to forty-four percent in a poorly structured US branch, and the difference is entirely a function of entity selection, capitalisation, and repatriation design. Second, Pillar 2 has fundamentally changed the incentive landscape for large MNEs — rate-based incentives are diminished while refundable tax credits gain relative value, and Canada and Australia are the clear winners in this new environment. Third, the parent country's CFC regime is the single most important structural constraint — Singapore parents have maximum flexibility, Brazilian parents have minimum, and US parents face the most complexity. Fourth, substance is non-negotiable — every jurisdiction has GAAR, LOB or PPT in its treaties, and Pillar 2 SBIE requires real payroll and tangible assets. Shell structures will fail. We have covered seven jurisdictions, nine sections, and forty-plus worked calculations and comparisons. The legislation index on the previous slide gives you the statutory authority for every provision discussed. Thank you, and I am happy to take questions on any specific corridor or calculation.